EXECUTIVE SUMMARY

I. Introduction

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Rizal (Municipality) for CY 2025 and was aimed at determining whether management presented fairly the financial statements of the province in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase (Decrease)
Financial Position			
Total Assets	₱ 414,928,115.62	₱ 368,889,924.53	₱ 46,038,191.09
Total Liabilities	237,411,816.91	201,853,764.90	35,558,052.01

Accounts	2025	2024	Increase (Decrease)
Government Equity	177,516,298.71	167,036,159.63	10,480,139.08
Results of Operations			
Total Income	151,455,946.55	128,803,462.38	22,652,484.17
Total Expenses	147,374,035.98	131,334,171.45	16,039,864.53
Net Income	3,704,295.45	(33,543,300.08)	37,247,595.53
Appropriations, Allotments and Obligations			
Appropriations- Current	152,750,815.00	129,378,120.00	23,372,695.00
Appropriations- Continuing	1,947,700.23	1,947,825.85	(125.62)
Allotment- Current	152,750,815.00	129,378,120.00	23,372,695.00
Allotment- Continuing	1,947,700.23	1,947,825.85	(125.62)
Obligations- Current	129,605,891.60	124,733,768.81	872,122.80
Obligations- Continuing	1,573,113.75	1,947,825.85	(374,712.1)

Also, the Comparative Statement of Fund Transfers to and from NGAs, GOCCs, LGUs and NGOs/POs of the LGU Rizal are as follows:

	2025	2024	Increase/ (Decrease)
Funds Transferred to Other Agencies			
NGAs	-	-	-
GOCCs	-	-	-
LGUs	-	-	-
NGOs/Pos	-	-	-
TOTAL	**-**	**-**	**-**
Funds Received from Other Agencies			
NGAs	₱ 2,850,000.00	₱ 50,245,325.92	₱ (47,395,325.92)
GOCCs	4,997,915.21	-	4,997,915.21
LGUs	6,000,000.00	517,730.00	5,482,270.00
NGOs/Pos	-	-	-
TOTAL	**₱ 13,847,915.21**	**₱ 50,763,055.92**	**₱ (36,915,140.71)**

IV. Operational Highlights

The Municipality is headed by the Municipal Mayor, Honorable Jamila Denise B. Ruma and Vice-Mayor, Honorable Brenda B. Ruma. For CY 2025, the Municipality had a total of 155 personnel complement, with 81 permanent, 13 elective, 2 co-terminus and 59 job order status.

The following infrastructure projects of the were completed in CY 2025:

Projects	Location	Total Cost Incurred
Construction of Gymnasium	Illuru	₱ 3,238,964.48
Construction of Gymnasium	Gaggabutan West	1,998,950.00

Projects	Location	Total Cost Incurred
Construction of Perimeter Fence	Gaggabutan West	180,752.82
Construction of Retaining Wall of Evacuation Center	Gaggabutan West	1,996,800.00
Upgrading/Rehabilitation of MDRRM Building	Poblacion	449,438.88
Concreting of Baluncanag Barangay Road	Baluncanag	999,043.63
Concreting of Mauanan Barangay Road	Mauanan	999,150.85
Concreting of Lattut Barangay Road	Lattut	999,698.56
Construction of Multi-Purpose Building	Liuan	3,239,868.75
Total		**₱ 14,102,667.97**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Rizal for the year-ended December 31, 2025 due to various accounts, which are materially misstated by an aggregate amount of ₱19,845,144.27 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling to ₱19,845,144.27, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality threshold, summarized as follows:

Accounts	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Construction In Progress	₱ 18,068,000.00	₱ -	₱ -	₱ 18,068,000.00
Accounts Payable	-	1,399,529.15	-	1,399,529.15
Trust Liabilities – DRRMF account	-	377,615.12	-	377,615.12
Total	**₱ 18,068,000.00**	**₱ 1,777,144.27**	**₱ -**	**₱ 19,845,144.27**

As a result, the following accounts in the financial statements of the Municipality of Rizal were misstated as follows:

Accounts	Overstatement	Understatement	Observation No.
Construction In Progress	₱ -	₱ 18,068,000.00	1
Accounts Payable	1,399,529.15		2, 3
Government Equity		813,508.15	2
Trust Liabilities – DRRMF account	-	377,615.12	4
Total	**₱ 1,399,529.15**	**₱ 19,259,123.27**	

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2025 other than the bases for the modified opinion that need immediate attention and action by the Municipality are as follows:

1. **Various receivable accounts aggregating to ₱8.164 million have remained non-moving or dormant for more than 10 years, thereby affecting the fair presentation of the accounts in the financial statements.**

   We recommended that the Management:

   A. Exert diligent efforts to reconstruct available records and exhaust all possible actions to establish the validity and collectability of the dormant receivables; and

   B. Where recovery is no longer feasible, undertake the appropriate actions for the proper disposition or write-off of the accounts, following the procedures outlined in COA Circular 2023-008 dated August 17, 2023, to ensure that the financial statements present a more accurate and reliable receivable accounts balance.

2. **Thirteen (13) projects funded under the CY 2025 20% Development Fund were not implemented, which is inconsistent with the principle of optimal and timely use of development funds, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.**

   We recommended that the Management, through the Municipal Engineering Office and other concerned offices:

   A. Closely monitor and prioritize the implementation of the ongoing and unimplemented PPAs;

   B. Maintain and regularly update accurate implementation status reports to ensure that project timelines proceed as scheduled; and

   C. Ensure that PPAs included in the approved Annual Investment Program are procurement and implementation-ready, consistent with the requirements of DBM–DOF–DILG JMC No. 1 dated November 4, 2020, to improve fund utilization and facilitate timely delivery of project outputs.

3. **The transfer of unspent Quick Response Fund and 70% Mitigation Fund-Maintenance and Other Operating Expenses balances amounting to P377,615.12 was not recognized in the Trust Fund books at year-end,**

resulting in the understatement of *Trust Liabilities-DRRMF* account by the same amount.

We recommended that the Management henceforth ensure the timely completion of all inter-fund transfers, particularly the transfer of unspent QRF and Mitigation Fund–MOOE balance, to ensure that account balances are properly and accurately reflected in the financial statements.

4. **The Municipality was not able to submit complete copies of contracts and/or purchase orders within the prescribed period of five (5) working days from their execution or issuance, thereby precluding the timely auditorial and technical review of the procurement transactions and hindering the prompt detection and correction of potential deficiencies, if any.**

We recommended that the Local Chief Executive instruct the concerned Officials to ensure the submission of contracts, including Contracts of Service and Job Order contracts and purchase orders, along with all documents forming part thereof, within five (5) working days from its execution or issuance, in strict compliance with COA Circular No. 2009-001 dated February 12, 2009.

VII. Summary of Total Suspensions, Disallowances and Charges

The status of suspensions, disallowances and charges as of December 31, 2025 is summarized as follows:

Particulars	Beginning Balance January 1, 2025	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2025	% of Settlement
Suspensions					
Prior Years	P 15,304,278.96	-	-	P 15,304,278.96	0.00%
Current Year	-	-	-	-	0.00%
Total	**P 15,304,278.96**	**-**	**-**	**P 15,304,278.96**	**0.00%**
Disallowances					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	**0.00%**
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	**-**	**-**	**-**	**-**	**0.00%**

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number
Fully Implemented	13
Not Implemented	7
Not Implemented and Reiterated in Part II of CY 2025 AAR	3
Total	**23**